

Impact of Microfinance on Women Development and Empowerment in India

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Introduction

Women in India, especially in rural areas, face numerous challenges that hinder their involvement in the economy, such as the patriarchal society, marital pressure, child rearing, health issues, and other social reasons. To promote women employment and better access to credit, microfinance initiatives were launched in India. These include Self Help Groups (SHGs) and formal sector/bank low-interest loans. This paper explores the impact of these microfinance initiatives on women development and empowerment. I have utilised these readings for the study: Transforming rural women's lives in India: the impact of microfinance and entrepreneurship on empowerment in Self-Help Groups by Ashwini Pandhare, Praveen Naik Bellampalli & Neelam Yadava (2024); Role of Microfinance in Women Empowerment by Dr. Vinod Bhelose & Ms. Sakshi Bhise (2025); and Financial Feminism: The Evolution of Microfinance and Self-Help Groups in India by Anaya Sheth (2025).

Findings

A Self-Help Group (SHG) is a platform where a small, informal group of women (usually 10-12) from similar socio-economic backgrounds pool their financial resources and lend internally from the pooled savings, with low loan interest rates (Sheth, 2025). Historically, the origins of the SHGs can be traced to the 1970s, when the Self-Employed Women's Association, a trade union of women workers in the informal sector, was founded in Gujarat by Ela R. Bhat. In the 1980s, India saw a growing emphasis on SHGs. MYRADA (Mysore Resettlement and Development Agency), an NGO in Karnataka, under the leadership of Aloysius Prakash Fernandez, started the formation of SHGs to help women better their economic conditions, in collaboration with Canara Bank (Bhelose & Bhise, 2025).

The National Bank for Agriculture and Rural Development (NABARD) conceptualised a pilot project in 1986-87 to link SHGs with banks in an effort to provide formal sector credit facilities to the informal sector (Bhelose & Bhise, 2025). This project was realised in 1992 when the SHG-Bank Linkage Program (SBLP) was launched. In 1999, this effort was supported by the Swarn Jayanti Gram Swarojgar Yojana, which aimed to facilitate rural employment. Finally, in 2011, with the establishment of the National Rural Livelihoods Mission (now Deendayal Antyodaya Yojana - National Rural Livelihoods Mission, or DAY-NRLM), the SHG movement

received a boost. DAY-NRLM helped organise poor rural women into SHGs. Another key initiative was the Kudumbashree programme of Kerala, where women were organised into Neighbourhood Support Groups (NHGs) and Self Help Groups (SHGs). This resulted in social and economic betterment of women in the state of Kerala (Bhelose & Bhise, 2025). “In emerging economies, there is a concerted effort to enhance credit access and promote the mobilisation of microfinancing, thereby encouraging greater participation in Self-Help Groups.” (Pandhare et al., 2024)

As of March 2025, 11.1 crore active loans have been given by the Microfinance Institutions (MFIs) (SIDBI Microfinance Pulse), and microfinance has grown by nearly 10 times in 10 years (Economic Times)

Women comprise nearly 40% of the total population in India, but only 32.8% of females aged 15 years & above in India are participating in the labour force, as against 77.2% of males. (Female Labour Utilisation in India Report by Directorate General of Employment, Ministry of Labour and Employment, 2023, p. 10). This indicates the gap that exists between employment for women and men. Not only with regard to employment, women also face some serious social, political, and psychological challenges.

All around the world, women are impacted disproportionately by poverty and also lack complete access to proper sanitation, clean water, nutritious food, healthcare, and education (Sheth, 2025). In addition to this, women’s labour is undervalued and thus unnoticed. Since women remain engaged primarily in household responsibilities and child rearing, they face barriers to taking loans and credit. In a patriarchal society, they also need permission from their male counterparts to access credit. With Microfinance, the institutions provide credit to low-income rural women with little to no education. And since it does not require security, it enables them to explore “new livelihood opportunities and overcome short-term financial crises” (Pandhare et al., 2024).

Women are only able to empower themselves when they challenge the existing social norms to lead a better life (Bhelose & Bhise, 2025). Microfinance helps empower women not only with regard to employment and financial status but also in social settings. This form of mediation helps in the setting up of new small businesses and investing in infrastructure and the required capital goods, which leads to higher levels of income and, therefore, higher levels of consumption. This empowers the entire community through the skills that women first learn and then impart to other members of their communities.

Through SHGs and participating in the entrepreneurial activities that it helps organise, there has been an increase in the income and savings of the rural women. They are now able to enjoy a higher standard of living as well as their financial well-being due to the self-employment avenues generated by the SHGs. In addition to this, as women generate more income, their

bargaining power within the household increases, which strengthens their positions in the family. It improves “their decision making roles and personal autonomy” (Bhelose & Bhise, 2025). This also greatly reduces the risk of abandonment, as financial stability and independence become a protective factor. Moreover, it also increases their control over household resources and expands their “physical mobility beyond the confines of her home” (Pandhare et al., 2024).

As microfinance provides financial support in the form of loans and encourages savings, women are empowered to set up new businesses or expand existing ones, which implies better income opportunities. The participation of women in these programmes increases the household consumption, income, and savings that have resulted in a decrease in the poverty levels of these households (Pandhare et al., 2024). Moreover, women are key in impacting the family welfare. With higher incomes, women have done higher expenditures on the education and health of the children, as opposed to men. They also instill financial discipline and impart this knowledge to their children, promoting better child-rearing practices.

Microfinance helps in creating a community of women that find comfort with each other. This network offers “emotional, informational, and economic support” (Sheth, 2025). The structure of SHGs typically has a leader, elected by the members, which helps foster leadership qualities and community engagement. This tight-knit group helps them share their burdens and access government resources and schemes that would otherwise have been difficult for them to access. Within the home, they are now active participants in the collective decision making process and consider themselves “essential and valued household members” (Pandhare et al., 2024).

SHGs have also played a crucial role in improving the financial literacy of women. Prior to such initiatives, rural women had little access to education, let alone financial literacy. They were also not aware of the formal banking systems. Through these organised groups, women are able to interact with bank officials, negotiate loan terms, and manage their finances. This helps foster confidence in women and improves their saving and borrowing behaviour. Additionally, with their savings, some women are also able to invest, primarily in gold.

A psychological dimension can also be added here. With microfinance, women now have the freedom to choose and make decisions. This has helped improve their self-confidence and instilled leadership skills. Especially for the small business owners, there has been a notable rise in assertiveness, signified by their interactions with strangers of all sexes. This has given them a form of “mental freedom” (Pandhare et al., 2024) that ensures that their interactions go smoothly and without any hesitation.

However, the impact of microfinance initiatives has been restricted to self-employment and the informal sector. Through the easy borrowing of loans at low to no interest rates, women have been able to set up profitable businesses, namely in the agricultural and allied sectors (dairy,

vegetables), art sector (basket weaving, pottery), and garment/tailoring sector. And others have joined these small businesses as workers. But they have not been able to access the formal sector employment. This can be explained by the rationale that the SHG movement was aimed at alleviating poverty and providing self-employment avenues.

Despite the various benefits of Microfinance, its implementation has faced some criticisms. There are concerns about the logistical challenges of reaching remote rural areas. This incurs more costs for the institutions as they have to account for the geographical isolation, poor infrastructure, and no connectivity with banks. Additionally, with the evolution of SHGs and bank linkages, commercial banks have replaced philanthropists, and this has resulted in aggressive loan recovery practices (Sheth, 2025).

To work on these challenges, it has been suggested that there should be improvement in the payment structures, such as creating flexible repayment schedules that accommodate the seasonal nature of rural income (as most women have businesses in the agriculture and allied sectors). Also, with credit, skill enhancement, business development and marketing programmes should be offered to women, that will help them to grow their businesses. There are also suggestions that Non Governmental Organisations (NGOs) should be involved further, as they help at the ground level (Sheth, 2025).

Conclusion

Microfinance and Self-Help Groups (SHGs) have played a crucial role in developing and empowering women in India. The main aim of these programmes was to foster self-employment, and it has done well on that scale. Not only has it boosted women's employment and economic levels but also improved the status of women within the home and outside. It has resulted in an increase in self-confidence, assertiveness, and leadership capabilities. While immediate gains may not be evident, the long-term and indirect benefits are immense. The "social capital" (Sheth, 2025), which includes greater literacy, dismantling traditional gender roles, higher savings, and community leadership, is difficult to quantify and has long-term effects on women development. There still are challenges that need to be addressed with better policies and protections. Microfinance has a long way to go, but its existing positive impact on women cannot be ignored.

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